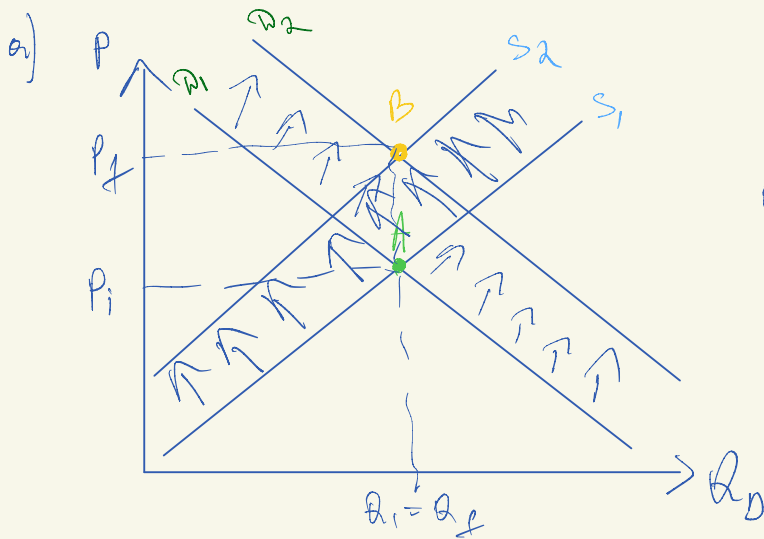


Question 17th

1 Low transaction prices

2 local economists expect $P \uparrow$



A - initial equilibrium

B - final market equilibrium

on the graph demand shifts to the right and supply shifts to the left

(the P is Price of Real Estate & Q_D is quantity demanded of Real Estate in Lexford)

i) Current prices will go up

ii) Quantity demanded of Real Estate stays the same (although might be less if more people decide to wait hoping that the prices will soon increase)

b) Expectations about future prices can increase the current prices